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800-Fundacion Carvajal
Juntos Aprendemos Budget Narrative
Subaward Modification No. 7

This budget narrative was adjusted in April 2024, according to an overall budget realignment and the cost extension until August 31, 2026, by USD 420,000.

Background:
Modification No. 7 is, among other changes, modifying the ceiling amount of the subaward by USD 420,000 from USD 8,686,266 to USD 9,106,266. This addition is consistent with the nature of JA under the NPI focus which promotes the organizational strength of Fundacion Carvajal; this amount will be used to ensure the adherence or alignment to manage, maintain and operate the regional offices and achieve successfully the goals approved in the work plan.

Budget lines, after realignment will be as follows:

	Categories **Categorías**	**Amount** **Monto**	**Leverage** **Apalancamiento**	**Total**
1.	Personnel Personal	~~$2,847,676~~ $2,858,977	~~$66,152~~ $65,375	~~$2,913,828~~ $2,924,352
2.	Fringe Benefits Beneficios	~~$1,310,790~~ $1,383,963	~~$29,095~~ $24,340	~~$1,339,885~~ $1,408,303
3.	Travel Viajes	~~$188,410~~ $322,692	~~$0~~ $3,999	~~$188,410~~ $326,691
4.	Equipment Equipo	~~$50,000~~ $0	$0	~~$50,000~~ $0
5.	Supplies Suministros	~~$69,389~~ $67,040	~~$0~~ $2,639	~~$69,389~~ $69,679
6.	Contractual Contractual	~~$3,113,105~~ $2,753,314	~~$0~~ $230,324	~~$3,113,105~~ $2,983,638
7.	Other Direct Costs Otros Costos Directos	~~$594,509~~ $1,064,584	~~$191,995~~ $114,461	~~$786,503~~ $1,179,045
8.	**Total Direct Costs** **Valor Total Costos Directos**	**~~$8,173,878~~** $8.450.569	**~~$287,242~~** $441,138	**~~$8,461,121~~** $8,891,707
9.	Indirect Costs Costos Indirectos	~~$512,388~~ $655,697	~~$28,724~~ $31,166	~~$541,112~~ $686,864
10.	**Total Costs** **Valor Total**	**~~$8,686,266~~** $9,106,266	**~~$315,966~~** $472,304	**~~$9,002,233~~** $9,578,570

Cost extension, leverage modification and budget realignment are included in the following budget lines details:

1. **<u>Personnel</u>**

Total increase amount on USD $10,524

800-Fundacion Carvajal Initial Budget		*800-Fundacion Carvajal Realignment – Modification No. 7*	
Total amount:	*USD $2,913,828*	*Total amount:*	*USD $2,924,352*
JA/USAID:	*USD $2,847,676*	*JA/USAID:*	*USD $2,858,977*
JA/Leverage:	*USD $66,152*	*JA/Leverage:*	*USD $65,375*

- Increased amount does not exceed 10% of the total grant subaward for the life of the subgrant.

- The approved budget line summarizes the financial aspects of the personnel for the project according with the approved WP for years 1, 2, 3 and 4, and expectations goals and closeout procedures in years 5, and 6.

- Level of effort (LOE) budgeted is based on the scope of the program and the current needs.

- Due to the current inflationary situation in Colombia:
  - 5.62% increase for inflation has been applied for all 800-FC/JA staff in 2022.
  - 13.12% increase for inflation has been applied for all 800-FC/JA staff in 2023.
  - 9.28% increase for inflation has been applied for all 800-FC/JA staff in 2024.
  - Estimates for 2025 and 2026 are projected at 10% average increase in accordance with salary market studies.

- All positions are required for the successful implementation of the activities, are according with the Work Plans approved and all positions are into the range of wages that Fundacion Carvajal use in all its projects.

- All recruitment processes of staff at all levels, are prior approved by POA/JA/RRHH.

- Staff approvals can see on the following POA´ SharePoint link:

  https://partnersnet107.sharepoint.com/sites/Programs/EGC/USAID800/Field%20Office/Agreements/Sub-wards/3.%20FUNDACIÓN%20CARVAJAL/G&C%20Approvals/800-FC%20-%20Staff

- Leverage decreases because leveraging efforts are included/distributed to other technical

lines in the budget.

2. **Fringe Benefits**

Total increase amount on USD $68,418

800-Fundacion Carvajal Initial Budget		*800-Fundacion Carvajal Realignment – Modification No. 7*	
Total amount:	*USD $1,339,885*	*Total amount:*	*USD $1,408,303*
JA/USAID:	*USD $1,310,790*	*JA/USAID:*	*USD $1,383,963*
JA/Leverage:	*USD $29,095*	*JA/Leverage:*	*USD $24,340*

- Increased amount does not exceed 10% of the total grant subaward for the life of the subgrant.

- The approved budget line summarizes the social security system (pension, health, solidary pension fund, labor risks and payroll taxes (SENA, ICBF and Family Compensation Fund) related with all the personnel hired for the project (located in numeral 1 – Personnel). This budget line also includes all costs related with vacations, severance payments, among others, all according with the set of Colombian legal principles and rules that regulate the relationships between employer(s) and worker(s).

- Fundacion Carvajal has two types of fringe benefits:

  - Contributions caused by ordinary salaries, which represents 51.852% and, that include the following percentages:

    - 8.33% for severance payment per month
    - 1% interest on severance payment per month
    - 4.17% for vacation (15 days of vacation/265 working days a year) per month
    - 8.33% bonus (prima legal de servicios or 13th & 14th month bonus) per month
    - 8.5% health insurance per month
    - 12% pension per month
    - 0.522% professional risks per month
    - 4% Family Welfare Fund per month
    - 3% for the Instituto Colombia Bienestar Familiar (ICBF) per month
    - 2% for the Sistema de Aprendizaje National (SENA) per month

  - Contributions caused by integral salaries, which represents 34.192%[1], include the

[1] Employees earning integral salary, 70 percent of salary will be the basis to calculate contributions to the social security system.

following positions:

- *Program Director/Management Team*
- *JA/Key Personnel – Education Director*

- Leverage decreases because leveraging efforts are included/distributed to other technical lines in the budget.

3. Travel

Total increase amount on USD $138,281

800-Fundacion Carvajal Initial Budget		*800-Fundacion Carvajal Realignment – Modification No. 7*	
Total amount:	*USD $188,410*	*Total amount:*	*USD $326,691*
JA/USAID:	*USD $188,410*	*JA/USAID:*	*USD $322,692*
JA/Leverage:	*USD $0*	*JA/Leverage:*	*USD $3,999*

Assumptions:

- *Round trip rates are based on coach/economy class airfares and compliance with Fly America.*
- *Per-diem rates and allowances are based on an average reduced rate of USG allowable per-diems.*
- *Lodging rates are based on a hotel quotes, market research and an average reduced rate of the USG allowable rate.*
- *All of the costs for travel after year one include an 8% increase to account for inflation.*

- Increased amount does not exceed 10% of the total grant subaward for the life of the subgrant.

- The approved budget line summarizes costs related with travel expenses: airfare, land transportation, lodging, per diem for 800-FC/JA Management Team, Core Team, some transversal and technical positions of field personnel, and some consultants to oversee project activities, including, but no limited to, parents/students/teacher training activities, different kind of meeting with Education Secretaries, Advisory boards meetings, annual forums, national and international forums for Education Observatories, SMT, 2nd tier subgrantees meetings, local transportation for tutors, etc.

- Leverage increases because Fundación Carvajal covers some travel expenses required for JA subactivities.

4. **Equipment**

Total decrease amount on USD $50,000

800-Fundacion Carvajal Initial Budget		*800-Fundacion Carvajal Realignment – Modification No. 7*	
Total amount:	*USD $50,000*	*Total amount:*	*USD $0*
JA/USAID:	*USD $50,000*	*JA/USAID:*	*USD $0*
JA/Leverage:	*USD $0*	*JA/Leverage:*	*USD $0*

Assumptions:

- *All equipment (over $5,000) purchases will be made under the guidance of the POA, unless otherwise indicated.*
- *To the extent possible, all equipment will be procured in Colombia, in accordance with standard procurement practices, to eliminate shipping and handling costs.*

- Decreased amount does not exceed the 10% of the total grant subaward for the life of the subgrant.

- The original budget included USD $50,000 for the purchase of one (1) vehicle following USAID procurement guidelines and sourcing requirements for the operations in Valle del Cauca. However, vehicle fleet are prohibited by policies of Fundacion Carvajal, and according with the technical activities of Juntos Aprendemos, a vehicle is not necessary.

- As of December 2023, Fundacion Carvajal has executed $0 in this item, with no need to acquire a vehicle in the future; therefore, this line will be deleted.

5. **Supplies**

Total increase amount on USD $290

800-Fundacion Carvajal Initial Budget		*800-Fundacion Carvajal Realignment – Modification No. 7*	
Total amount:	*USD $69,389*	*Total amount:*	*USD $69,679*
JA/USAID:	*USD $69,389*	*JA/USAID:*	*USD $67,040*
JA/Leverage:	*USD $0*	*JA/Leverage:*	*USD $2,639*

- Increased amount does not exceed 10% of the total grant subaward for the life of the subgrant.

- The approved budget line summarizes the purchase laptops for the project, with an amount of USD $37,355 and USD $32,034 for personal protective equipment.

- As of December 2023, Fundacion Carvajal has executed $59,050 in this item, resulting in a balance of -$21,695, as more laptops and tablets and other kind of supplies[2] were required for project staff. The value will be covered with realigned amounts in Supplies (Personal Protective Equipment), because of USAID instructions which indicate that Implementing Partners are no longer required to apply biosafety protocols to prevent risks or infections or present COVID-19, on May 11, 2023.

- Leverage increases because Fundación Carvajal covers some supplies costs required for JA subactivities.

6. Contractual

Total decrease amount on USD $129,467

800-Fundacion Carvajal Initial Budget		*800-Fundacion Carvajal Realignment – Modification No. 7*	
Total amount:	***USD $3,113,105***	***Total amount:***	***USD $2,983,638***
JA/USAID – 2nd Tier Subawardees:	*USD $3,000,000*	*JA/USAID – 2nd Tier Subawardees:*	*USD $1,893,539*
JA/USAID – Consultants:	*USD $77,405*	*JA/USAID – Consultants:*	*USD $640,912*
JA/USAID – Contracts:	*USD $35,700*	*JA/USAID – Contracts:*	*USD $218,863*
JA/Leverage:	*USD $0*	*JA/Leverage:*	*USD $230,324*

- Decreased amount does not exceed the 10% of the total grant subaward for the life of the subgrant.

- The budget line summarizes second tier subawards, consultants and security contract, activities required for the project.

- The original budget included $3,000,000 for second tier subawardees, however, this cost is decreasing because under the principles of USAID for the New Partners Initiative, Fundacion Carvajal has been training as a partner responsibly in decision-making and the operate responsively and transparently USAID resources, strengthening its capacity as a local organization to thrive in other USAID´s projects. With the new training to

- [2] Current Inventory can see on the following POA´ SharePoint link:

https://partnersnet107.sharepoint.com/sites/Programs/EGC/USAID800/Field%20Office/Agreements/Sub-awards/3.%20FUNDACIÓN%20CARVAJAL/Payments/2023/Invoices/29.%20Inv%2029%20-%20Dic%202023/800-FC%20-%20Support%20Docs/5%20-%20Supplies/Inventory

FUNDACION CARVAJAL that will elevate local leadership, foster creativity, and innovation, and mobilize resources, and with the amount approved for second tier subgrantees, (USD 1,893,539) FUNDACIÓN CARVAJAL achieve a perfect balance to successfully develop diverse projects, will be able to strengthen existing partner relationships, and will provide more entry points for the organization to work in the future with USAID.

- Likewise, it is important to say, that the decrease in resources in the second tier subgrantees fund is due, in addition to the above mentioned, to some technical decisions, such as, for example:

  - From Aula Global subactivity, which has already had three 2nd tier FAAs, adjustments are being implemented and evaluated that have to do with the incorporation of socioemotional skills (HSE) to tutoring. The adjustment was incorporated, and an impact evaluation will be done this year. FUNDACION CARVAJAL considers that the best course of action is that FUNDACION CARVAJAL oversees this piloting of the incorporation and evaluation of Aula Global with the Socio-Emotional Skills sub-activity and that once this modification has been fully executed, we will return with subgrantees in 2025 so the 2nd Tier subawardees can replicate it.
  - Regarding the ALMs experience, this subactivity indicates that from year to year there are many changes in the offer of the Ministry of Education in Flexible Educational Models. For this sub-activity, FUNDACION CARVAJAL depends on the offer of each education secretariat, and when the Ministry makes substantial modifications (decides to close an AML classroom or change the coverage), this implies many changes in the commitments already acquired with the 2nd Tier sub-grantees. FUNDACION CARVAJAL considers that direct implementation in ALM is convenient since FUNDACION CARVAJAL can assume these changes in the offer, while with 2ND tier subgrantees this implies a revision of coverage and similar agreements and modifications that can be rejected or not by them.

- All second tier subawardees processes are prior approved by POA/JA/HO.

- Second Tier Subawards process and approvals can see on the following POA´ SharePoint link:

https://partnersnet107.sharepoint.com/sites/Programs/EGC/USAID800/Field%20Office/Agreements/Sub-awards/3.%20FUNDACIÓN%20CARVAJAL/G&C%20Approvals/800-FC%20-%202nd%20Tier

- The original budget included $77,405 for consultants (Early childhood professionals and professionals to conduct STEAM training for community mothers); however, subactivities approved for Juntos Aprendemos under 800-Fundacion Carvajal have required many more consultants to develop all the semipersonalized tutoring sessions with students, teachers,

parents, etc., activities required for ALM, Aula Global, ATAL, and other education models adopted by Juntos Aprendemos and approved in WPs.

- Other new activities, considered under this budget line are:
    - Technical advice for advocacy on public policy
    - EGMA and EGRA surveys
    - MEL Consultants
    - Institutional Strengthening consultants
    - Rapid Response Fund activities

- The original budget included $35,700 for a Local Security Contract, however, POA proactively consolidated this contract in just one for all the operation of Juntos Aprendemos in Colombia.

- The value will be covered with realigned amounts in contractual.

- Leverage increases because Fundación Carvajal mobilized resources from 2nd Tier Subawardees and other alliances like Tecnoquimicas and Tinker Foundation to complement technical JA subactivities.

7. Other Direct Costs

Total increase amount on USD $392,541

800-Fundacion Carvajal Initial Budget		*800-Fundacion Carvajal Realignment – Modification No. 7*	
Total amount:	*USD $786,504*	*Total amount:*	*USD $1,179,045*
JA/USAID:	*USD $594,509*	*JA/USAID:*	*USD $1,064,584*
JA/Leverage:	*USD $191,995*	*JA/Leverage:*	*USD $114,461*

- Increased amount does not exceed 10% of the total grant subaward for the life of the subgrant.

- The budget line summarizes all costs related with F&A (audits, bank fees, translations costs, etc.) and logistics related with objectives and subactivities: trainings, tutoring session's needs – educational guides, fungible materials, etc., and workshops needs (spaces, refreshments, lunches, etc.), and MEL needs.

- In all ODCs budget line leverage decreases because leveraging efforts are included/distributed to other technical lines in the budget.

- Modification maintains some budget sublines and eliminates others of F&A activities as show:

F&A Activities: Decrease amount on USD $68,752

800-Fundacion Carvajal Initial Budget ODC Budget Line		*800-Fundacion Carvajal Realignment – Modification No. 7 ODC Budget Line*	
Total amount:	*USD $252,507*	*Total amount:*	*USD $183,755*
JA/USAID:	*USD $68,752*	*JA/USAID:*	*USD $92,099*
JA/Leverage:	*USD $183,755*	*JA/Leverage:*	*USD $46,319*

- USAID funds:
  - Audit costs – increase by USD 45,618, from USD 13,373 to USD 58,891:
    - Audit A133 for Y2022 was USD 10,797.
    - According with the celling execution per year and for the total of the subaward, audit cost budget subline will need USD 48,095 for A133 audit reports for Y2023, Y2024, Y2025 and Y2026, to guarantee the audit service.
    - The value will be cover with realigned amounts.

  - Translation costs
  - Courier fees/services/postage
  - Banking and cash handling fees
    - Above lines decrease by USD 5,937, from USD 39,143 to USD 33,207, according with the historic cost of JA during the POP of 800-FC up to December/23.
  - *(eliminate) Vehicle Insurance & Maintenance budget subline.*

- Leverage decreases because leveraging efforts are include/distribute to other technical lines in the budget.

Subactivities (previously Objective 1, 2 and 3): Aula Global, Early Childhood, ATL y Vamos a estudiar, ALM, Institutional Strengthening Activities (Rapid Response Fund, Advocacy, Gender, Strengthening Public Policy, Advocacy, and Institutional Capacity Development, among others) and MEL: Increase amount on USD $68,752

800-Fundacion Carvajal Initial Budget ODC Budget Line		*800-Fundacion Carvajal Realignment – Modification No. 7 ODC Budget Line*	
Total amount:	*USD $533,997*	*Total amount:*	*USD $1,019,291*
JA/USAID:	*USD $525,757*	*JA/USAID:*	*USD $972,485*
JA/Leverage:	*USD $8,240*	*JA/Leverage:*	*USD $68,141*

- USAID funds:
  - According to targets, and with more direct execution, more needs for logistics (refreshments, meeting spaces, tutors, educational guides, fungible materials and pedagogical materials, local transportation, office supplies, among others.)
  - According to the scope of work of JUNTOS APRENDEMOS considering the Activity's evolution, the lessons learned and baseline results, JA will diversify its work plan in 2024 to 2026, including activities with the mid-term evaluation recommendations, and the priorities of the USAID.
  - In MEL, FUNDACION CARVAJAL will continue working to develop all the activities necessary to complete the MEL team projects and activities, including the necessary requests for data collection tools, On-going MEL Training Workshops and On-going Training Workshops for Data Collection with second tiers and with the staff of FC/JA.

- Leverage increases because Fundación Carvajal covers some ODC costs required for JA subactivities, according to new stakeholders and activities in line with resource mobilization.

OTHER RELATED COSTS:

A. De Minimis Rate:

Total increase amount on USD $145,752

800-Fundacion Carvajal Initial Budget		*800-Fundacion Carvajal Realignment – Modification No. 7*	
Total amount:	*USD $541,112*	*Total amount:*	*USD $686,864*
JA/USAID:	*USD $512,388*	*JA/USAID:*	*USD $655,698*
JA/Leverage:	*USD $28,724*	*JA/Leverage:*	*USD $31,166*

- Increased amount does not exceed the 10% of the total grant subaward for the life of the subgrant.

- De Minimis Rate from Leverage increases based on the modified leverage resources.

- Initial budget included a negotiated Minimis Rate by 10%. Indirect Costs will be applied upon budget realignment approval at the same rate. A summary of these charges as follows:

800-Fundacion Carvajal	Year[3] Y1 USD	Y2 USD	Y3 USD	Y4 USD	Y5 USD	Y6 USD	TOTAL USD
(10% De Minimis Rate) – USAID Fundacion Carvajal	$20,400	$111,259	$125,832	$161,497	$154,196	$82,515	$655,697
(10% De Minimis) – Leverage	$0	$0	$12,993	$16,029	$1,299	$845	$29,836

B. Leverage per year (without De Minimis Rate)

800-Fundacion Carvajal	Year[4] Y1 USD	Y2 USD	Y3 USD	Y4 USD	Y5 USD	Y6 USD	TOTAL USD
Fundacion Carvajal – Leverage	$8,646	$43,051	$207,712	$160.287	$12,994	$8,448	$441,138

C. Total costs by year

800-Fundacion Carvajal Initial Budget USAID + Leverage		*800-Fundacion Carvajal Realignment – Modification No. 7 USAID + Leverage*	
Year 1	*USD $1,489,147*	*Year 1*	*USD $233,043*
Year 2	*USD $2,071,293*	*Year 2*	*USD $1,638,884*
Year 3	*USD $2,038,179*	*Year 3*	*USD $2,067,882*
Year 4	*USD $2,085,319*	*Year 4*	*USD $2,017,778*
Year 5	*USD $1,318,295*	*Year 5*	*USD $2,477,057*
Year 6	*USD $0*	*Year 6*	*USD $1,143,706*
TOTAL	*USD $9,002,232*	*TOTAL*	*USD $9,578,569*

[3] "Year" refers to the Juntos Aprendemos Program Year, January-December, except for Year One (August – December 2021) and Year Six (January – August 2026).
[4] "Year" refers to the Juntos Aprendemos Program Year, January-December, except for Year One (August – December 2021) and Year Six (January – August 2026).

800-Fundacion Carvajal *Initial Budget* *USAID*		*800-Fundacion Carvajal* *Realignment – Modification No. 7* *USAID*	
Year 1	*USD $1,433,541*	*Year 1*	*USD $224,397*
Year 2	*USD $2,001,795*	*Year 2*	*USD $1,595,831*
Year 3	*USD $1,975,720*	*Year 3*	*USD $1,847,178*
Year 4	*USD $2,020,763*	*Year 4*	*USD $1,841,463*
Year 5	*USD $1,254,446*	*Year 5*	*USD $2,462,764*
Year 6	*USD $0*	*Year 6*	*USD $1,134,633*
TOTAL	*USD $8,686,266*	*TOTAL*	*USD $9,106,266*